

GAINING MOMENTUM



While FY24 recorded ₹23,097 crore in net outflows, in FY25 (till Feb 2025), debt funds have seen an impressive ₹3.41 lakh crore inflow

In addition to liquid funds, money market funds and overnight funds have also performed well in FY25, attracting ₹87,883 crore and ₹25,020 crore, respectively

In debt mutual funds, tax is payable on redemption, whereas in FDs, tax is levied annually on accrued interest

Historically, a falling rupee has led to tighter monetary policies, negatively impacting debt funds

If the repo rate falls further by 100 basis points, long-duration funds are expected to generate substantial returns

duration bond yields have rallied due to FPI flows,” he notes.

REBOUND OF DEBT FUNDS

The Indian debt mutual fund space has seen a striking reversal in FY25.

The shift highlights growing investor confidence in debt instruments, particularly amid expectations of further rate cuts by the Reserve Bank of India since that could push up yields.

Among debt funds, it is the liquid funds that have emerged as the biggest gainers, with inflows of ₹1.71 lakh crore in FY25. Money market funds and overnight funds have also performed well, attracting ₹87,883 crore and ₹25,020 crore, respectively. Corporate bond funds saw inflows of ₹14,987 crore, while gilt funds, which provide exposure to government securities, saw net inflows of ₹11,190 crore. One notable trend is that short- and medium-duration funds have benefited the most from the expectations of rate

cuts, while banking and PSU funds, credit risk funds, and floater funds have continued to see outflows.

RATE OUTLOOK

Interest rate movements have a direct impact on debt fund performance. A bond's coupon rate (interest rate offered by bonds) is fixed at the time it is issued. If interest rates fall below the bond's coupon rate, then it becomes more attractive as it provides a higher return than the prevalent market rate. That then increases demand for such bonds and pushes up their prices. Conversely, when interest rates rise, these bonds become unattractive, and their prices fall because of lower demand.

A similar dynamic plays out for fixed-income funds as well. When interest rates rise, and the prices of fixed-income securities fall, there is a commensurate dip in net asset value (NAV) of fixed-income funds that hold the debt securities

14.76
PER CENT

THE RATE OF DECLINE
IN AVERAGE RETURNS
OF EQUITY FUNDS
IN THE THREE
MONTHS TO MARCH 11

21.41
PER CENT

DROP IN THE SMALL-
CAP CATEGORY OF
EQUITY FUNDS IN THE
THREE MONTHS TO
MARCH 11